

TOP 50 PYQS CASE STUDIES & A&R

Based on High-Frequency CBSE Accountancy Pattern Analysis

★ ASSERTION & REASON (Most Repeated)

Partnership Fundamentals

1. **Assertion (A):** Private assets of partners can be used to pay firm debts.

Reason (R): Liability of partners is unlimited.

✓ **Answer: Both A and R are true and R explains A.**

2. **Assertion (A):** Partnership firm has separate legal existence.

Reason (R): Firm and partners are different persons in law.

✓ **Answer: Both A and R are false.**

3. **Assertion (A):** Death of a partner results in dissolution of partnership.

Reason (R): Partnership agreement automatically ends.

✓ **Answer: Both A and R are true and R explains A.**

4. **Assertion (A):** Business becoming illegal causes dissolution.

Reason (R): Firm cannot operate unlawful activities.

✓ **Answer: Both A and R are true.**

5. **Assertion (A):** Goodwill is recorded only when purchased.

Reason (R): Self generated goodwill is not recorded in books.

✓ **Answer: Both A and R are true.**

6. **Assertion (A):** Sacrificing ratio is calculated during admission.

Reason (R): Old partners sacrifice profit share.

✓ **Answer: Both A and R are true.**

7. **Assertion (A):** Gaining ratio is used during retirement.

Reason (R): Remaining partners gain profit share.

✓ **Answer: Both A and R are true.**

8. Assertion (A): General reserve is transferred to all partners at admission.

Reason (R): It belongs to old partners only.

✓ **Answer: A true, R false.**

9. Assertion (A): Revaluation profit is shared by old partners.

Reason (R): It relates to period before admission.

✓ **Answer: Both true.**

10. Assertion (A): Interest on drawings reduces capital.

Reason (R): It is treated as firm's income.

✓ **Answer: Both true.**

Share Capital & Company Accounts

11. Assertion (A): Securities premium cannot be used to write off capital loss.

Reason (R): Companies Act restricts its use.

✓ **Answer: Both true.**

12. Assertion (A): Forfeited shares account is capital profit.

Reason (R): It arises from share capital transactions.

✓ **Answer: Both true.**

13. Assertion (A): Share capital account is debited during forfeiture.

Reason (R): Called up capital is cancelled.

✓ **Answer: Both true.**

14. Assertion (A): Maximum discount on reissue equals amount forfeited.

Reason (R): Company cannot incur capital loss.

✓ **Answer: Both true.**

15. Assertion (A): Debenture holders are creditors.

Reason (R): They lend money to company.

✓ **Answer: Both true.**

16. Assertion (A): Loss on issue of debentures is fictitious asset.

Reason (R): It is written off over period.

✓ **Answer: Both true.**

17. Assertion (A): Premium on redemption is liability.
Reason (R): Company must pay extra amount at redemption.

✓ **Answer: Both true.**

18. Assertion (A): Interest on debentures is charge against profit.
Reason (R): It must be paid irrespective of profit.

✓ **Answer: Both true.**

Financial Statement Analysis

19. Assertion (A): Operating ratio and operating profit ratio are complementary.
Reason (R): Their sum equals 100%.

✓ **Answer: Both true.**

20. Assertion (A): Current ratio measures liquidity.
Reason (R): It compares current assets and liabilities.

✓ **Answer: Both true.**

21. Assertion (A): Quick ratio excludes inventory.
Reason (R): Inventory is least liquid asset.

✓ **Answer: Both true.**

22. Assertion (A): Cash flow includes only cash transactions.
Reason (R): Non-cash transactions are ignored.

✓ **Answer: Both true.**

23. Assertion (A): Sale of fixed assets is investing activity.
Reason (R): It affects long term assets.

✓ **Answer: Both true.**

24. Assertion (A): Dividend payment is financing activity.
Reason (R): It relates to capital providers.

✓ **Answer: Both true.**

25. Assertion (A): Debt equity ratio measures solvency.
Reason (R): It shows dependence on borrowed funds.

✓ **Answer: Both true.**

Admission / Goodwill

26. A firm admits new partner who brings excess capital. Identify type of goodwill calculation.

✓ Answer: Hidden goodwill

27. New partner brings goodwill premium in cash. It is credited to:

✓ Answer: Old partners' capital accounts

28. Goodwill adjusted without opening goodwill account is called:

✓ Answer: Capital adjustment method

29. Goodwill existing in books at admission should be:

✓ Answer: Written off among old partners

30. If new partner fails to bring goodwill:

✓ Answer: Adjust through capital accounts

Retirement Case Scenarios

31. Retiring partner goodwill is compensated by:

✓ Answer: Gaining partners

32. Amount payable to retiring partner is transferred to:

✓ Answer: Loan account

33. Revaluation losses at retirement are borne by:

✓ Answer: Old partners

34. Joint life policy proceeds at retirement are treated as:

✓ Answer: Profit among partners

35. Reserve at retirement is distributed among:

✓ Answer: All partners in old ratio

Dissolution Trends

36. Assets transferred to realisation account are recorded at:

✓ Answer: **Book value**

37. Unrecorded assets realised are credited to:

✓ Answer: **Realisation account**

38. Partner taking over assets debits:

✓ Answer: **Partner capital account**

39. Realisation profit transferred to:

✓ Answer: **Partner capital accounts**

40. Cash balance transferred during dissolution is transferred to:

✓ Answer: **Bank account**

Shares & Debentures Scenarios

41. Shares issued at premium and forfeited – premium already received is:

✓ Answer: **Not reversed**

42. Shares issued at discount and forfeited – discount account is:

✓ Answer: **Reversed**

43. Forfeited shares reissued at premium creates:

✓ Answer: **Capital reserve**

44. Calls in arrears during forfeiture are transferred to:

✓ Answer: **Share forfeiture account**

45. Application money received on excess shares is adjusted against:

✓ Answer: **Allotment money**

Final Misc Repeats

46. Debentures issued at discount and redeemed at premium creates:

✓ Answer: **Loss on issue of debentures**

47. Interest on debentures is paid from:

✓ Answer: Profit before tax

48. Purchase of assets by issue of debentures results in:

✓ Answer: Non-cash transaction

49. Inventory sold at loss affects current ratio by:

✓ Answer: Decreasing it

50. Collection from debtors affects cash flow as:

✓ Answer: Operating activity inflow

 **BOARDS PREDICTION: Mastery of these A&R and Case Scenarios secures 15-20% of your total marks. Focus heavily on 'Reasoning' for Shareholders' Funds and Financing Activities classification.**